Signé par Em

Nº 03

COLLECTION
BUYERS

Mortgage Pre-Approval, Decoded

Understand, prepare and secure strong financing.

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

Mortgage Pre-Approval, Decoded · Collection Buyers · Guide No. 03 · 2026 Edition

Mortgage Pre-Approval, Decoded

Understand, prepare for and secure strong financing

Mortgage pre-approval is the most misunderstood stage of the first purchase - and yet one of the most decisive. Done well, it gives you a clear amount, a guaranteed rate and real credibility with sellers.

This guide demystifies every cog: what the lender looks at, how they calculate your capacity, what the famous “stress test” is, and how a mortgage broker can work for you.

After each chapter, the “My notes” section helps you prepare your file and identify what could weaken it.

Pre-approval is the first stone of a peaceful purchase: it transforms a vague “I’m looking for a house” into a clear and credible budget. This guide breaks down the jargon, explains what the lender is really looking at, and helps you present a strong case.

Rates and thresholds are constantly evolving: the benchmarks in this guide (2026 edition) are there to understand the logic, not to replace an up-to-date simulation with your mortgage broker.

CHAPTER

Prequalification vs Preapproval

> *Distinguish between an informal estimate and a quantified commitment.*

Prequalification is a quick calculation, based on what you declare, without verification: useful to get an idea, but without commitment value. Pre-approval is based on analysis of your documents: the lender confirms an amount and guarantees a rate for a given period (often 90 to 120 days).

It's the latter that counts: it tells you precisely in which range to shop, and it reassures sellers and brokers about the seriousness of your offer.

In practice, pre-approval gives you a maximum amount AND a guaranteed rate for a period (often 90 to 120 days). It reassures the seller, speeds up your offer and prevents you from shopping beyond your means. Do it again if your search extends beyond its validity.

> EMILIE'S ADVICE
>
> *Never confuse a “number on the phone” with a written pre-approval. Only the document, supported by your documents, has weight when offering.*

CHAPTER

What the lender really looks at

> *Understand the three pillars of a file: income, debts, credit.*

Debt ratios

The lender calculates two ratios. The ABD (gross debt amortization) compares your housing costs (mortgage, taxes, heating, share of condo fees) to your gross income: ideally 32 to 39%. The ATD (total debt amortization) adds all your other debts (car, cards, lines of credit, student loans): generally capped around 40 to 44%.

Credit

- A rating of 680 and above generally opens up better rates.
- Always pay on time; a single delay can weigh heavily.
- Keep your card usage under 30% of the limit.
- Avoid opening new credits just before and during the process.

Reducing consumer debt before purchasing often improves your borrowing capacity more than an extra few hundred dollars in savings.

The lender also adds up your other debts (car, margins, cards, student loans): even a modest balance repaid each month reduces your capacity, because it is the minimum payment that counts. Paying off card debt before you buy often increases your purchasing power faster than saving a few thousand dollars more.

> EMILIE'S ADVICE
>
> *Paying off a high-interest credit card before purchasing is like killing two birds with one stone: you save interest AND you increase the amount that someone will agree to lend you.*

CHAPTER

The resistance test (stress test)

> *Understand why you are qualified at a higher rate than yours.*

Lenders need to check that you could continue to pay if rates rise. So they qualify you at a “qualifying rate” higher than your actual rate. Consequence: the pre-approved amount is sometimes more conservative than you hoped.

This is not a punishment, but a safety margin. It protects you against a scenario where a rate increase at maturity would make your payments unsustainable. Buy with this margin in mind, not just today's rate.

The stress test explains why your pre-approval may seem “prudent”: you are qualified at a rate higher than yours to verify that you would sustain an increase. This is not a punishment, but a protection - and a good reason to keep a comfort margin below your theoretical maximum.

> EMILIE'S ADVICE
>
> *Do the mental exercise: “what if my rate rose by 2% at maturity? ". If the payout scares you, buy a little below your maximum. Peace of mind is priceless.*

CHAPTER

Mortgage broker or institution?

> *Choose the right channel to obtain the best financing.*

A mortgage broker shops several lenders (banks, cooperatives, specialized lenders) and negotiates for you - often at no cost to the borrower, because he is paid by the selected lender. Your bank only offers its own products, but can offer advantages to its loyal customers.

- Broker: more choice, useful if your file is atypical (self-employed, variable income).
- Institution: simplicity, existing relationship, sometimes “customer” discounts.
- In all cases: compare the rate, but also the conditions (reimbursement penalties, flexibility, portability).

A mortgage broker compares several lenders at once and knows their criteria; your institution only offers its own products but can reward your loyalty. In both cases, compare the rate AND the conditions (penalties, portability, accelerated repayments), because the lowest rate is not always the best loan.

> EMILIE'S ADVICE
>
> *The lowest rate is not always the best loan. A poorly crafted prepayment penalty can cost thousands of dollars if your life changes. Read the terms, not just the number.*

CHAPTER

Documents, validity and pitfalls to avoid

> *Prepare a complete file and do not weaken it before the notary.*

Documents to gather

- Proof of income: pay stubs, notice of assessment, T4; financial statements if self-employed.
- Proof of investment: RRSP/FHSA/account statements, donation letter if applicable.
- Identity document and list of your current debts.

Don't sabotage your file

Between pre-approval and signing at the notary, avoid anything that changes your risk profile: do not change jobs without necessity, do not buy a car on credit, do not open new cards, do not make large unexplained withdrawals. The lender often double-checks your situation before final disbursement.

A classic trap: changing your financial situation between pre-approval and signing (change job, buy a car, open a new card, make a large undocumented transfer). Any variation may cause your file to be reassessed - or even refused. Keep your finances stable until you see the notary.

> EMILIE'S ADVICE
>
> *After your pre-approval, put your financial life “on pause” down to the keys: same income, same debts, same accounts. A new car financing can derail the home purchase.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Check my credit score for free and correct any errors.
2. Gather my proof of income and down payment.

Within 30 days

1. Meet a mortgage broker and an institution, then compare.
2. Obtain written pre-approval and note its expiration date.

Then

1. Shop within my confirmed range and keep my financial situation stable until the notary.

To strengthen my case

1. Repay or reduce my card balances before applying.
2. Avoid any new loans and keep my job stable until signing.

REFERENCES

Resources & glossary

- ABD: housing costs ÷ gross income (ideally 32-39%).
- ATD: all debts ÷ gross income (ceiling ~40-44%).
- Allowable rate: higher rate used for the resistance test.
- Mortgage broker: intermediary who shops several lenders, often at no cost to the borrower.
- Prepayment penalty: cost of repaying or terminating a loan before the term.

- ABD / ATD: debt ratios (housing only / all debts included).
- Allowable rate: (higher) rate used for the resistance test.
- Down payment: part paid in cash; below 20%, loan insurance is added.
- Portability: possibility of transferring your loan to another property.
- Repayment penalty: cost of breaking or repaying before the end of the term.

GO FURTHER

Quiz - test yourself

1. The key difference between prequalification and preapproval is:

A) None
B) Pre-approval is based on verification of your documents
C) Prequalification guarantees a rate
D) Pre-approval is verbal

2. The ABD measures:

A) All your debts
B) Your housing costs ÷ gross income
C) Your credit score
D) The value of the house

3. A good credit score is generally based on:

A) 300
B) 500
C) 680
D) 900 required

4. The stress test qualifies you to:

A) Your real rate
B) A rate higher than the real rate
C) A rate of 0%
D) The Bank of Canada rate only

5. A mortgage broker is most helpful when:

A) Your file is atypical and you want several options
B) You don't want any choice
C) You refuse to provide documents
D) You have no income

6. When comparing two loans, you need to look at:

A) Only the rate
B) The rate AND the conditions (penalties, flexibility)
C) The color of the bank
D) The name of the advisor

7. After pre-approval, avoid:

A) To keep the same job
B) To buy a car on credit
C) To pay your bills
D) To keep your accounts

8. Proof of investment may include:

A) A photo of the house

B) RRSP/FHSA statements and a donation letter

C) The certificate of location

D) The seller's lease

9. The pre-approval generally remains valid:

A) 1 day

B) 90 to 120 days

C) 5 years

D) Forever

10. Reduce card debt before purchase:

A) Has no effect

B) Can increase your borrowing capacity

C) Lower your rating

D) Is prohibited

Answers

1. B - Only the pre-approval, supported by your documents, binds the lender (chap. 1).

2. B - The ABD isolates housing costs (chap. 2).

3. C - 680+ usually opens up better rates (chap. 2).

4. B - This is a safety margin against increases (chap. 3).

5. A - It lists several lenders for you (chapter 4).

6. B - Penalties can be very expensive (chap. 4).

7. B - New credit can derail final financing (chap. 5).

8. B - The lender wants to trace the origin of the funds (chap. 5).

9. B - The rate is guaranteed for this window (chap. 1).

10. B - This improves your ratios and often your rating (chap. 2).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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